

Rajesh Kumar Sharma v. Meridian Textiles Private Limited

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION
CRIMINAL APPEAL NO. 402 OF 2023

RAJESH KUMAR SHARMA ... APPELLANT / PETITIONER
VERSUS
MERIDIAN TEXTILES PRIVATE LIMITED AND ANR. ... RESPONDENTS

JUDGMENT / RATIO DECIDENDI:

1. This appeal arises out of proceedings initiated under Section 138 of the Negotiable Instruments Act 1881 for dishonour of cheque issued by the Respondent company.
2. The core legal issue is whether a company director who signed the cheque remains personally liable under Section 138 notwithstanding his capacity as a director.
3. Key facts: The Appellant supplied raw cotton worth Rs. 45 Lakhs to the Respondent company. Cheque No. 408122 was returned dishonoured for insufficient funds.
4. **HELD: Appeal allowed. The Respondent company and its managing director are held jointly and severally liable. The High Court's decision is reversed.**